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In The

Supreme Court of the United States

HOFFMAN PLASTIC COMPOUNDS, INC.,

Petitioner,

v.

NATIONAL LABOR RELATIONS BOARD,

Respondent.

On Writ of Certiorari To The United States Court of Appeals
For The District of Columbia Circuit

PETITIONER'S REPLY BRIEF

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25 pp

TABLE OF CONTENTS

PAGE

INTRODUCTION 1

ARGUMENT 3

False Premise No. 1: *Sure-Tan* Denies Backpay Only to Undocumented Aliens Who Leave the Country 3

False Premise No. 2: The Immigration Laws Require an Award of Backpay to Castro 8

False Premise No. 3: Castro's Illegal Status Did Not Prevent Him From Lawfully Mitigating His Damages 14

False Premise No. 4: The After-Acquired Evidence Rule Requires An Award of Backpay to Castro 16

False Premise No. 5: Failing to Award Backpay To Castro Absolves Hoffman of a Violation of The NLRA 18

CONCLUSION 20

TABLE OF AUTHORITIES

PAGE

CASES

ABF Freight Sys., Inc. v. NLRB,
510 U.S. 317 (1994) 1

Camp v. Jeffer, Mangles, Butler & Marmaro,
41 Cal. Rptr.2d 329 (Cal. Ct. App. 1995) 17

Cedeno v. Montclair State University,
725 A.2d 38 (N.J. App. 1999), *aff'd*,
750 A.2d 73 (N.J. 2000) 18

De Canas v. Bica,
424 U.S. 351 (1976) 10

Del Rey Tortilleria v. NLRB,
976 F.2d 1115 (7th Cir. 1992) 3

Hoffman Plastic Compounds, Inc. v. NLRB,
237 F.3d 639 (D.C. Cir. 2001) 3

INS v. Lopez-Mendoza,
468 U.S. 1032 (1984) 5, 6

Justrite Mfg. Co., 238 N.L.R.B. 57 (1978) 7

McKennon v. Nashville Banner Publishing Co.,
513 U.S. 352 (1995) 16, 17, 18

Montero v. INS,
124 F.3d 381 (2d Cir. 1997) 1

NLRB v. A.P.R.A. Fuel Oil Buyers Group, Inc.,
134 F.3d 50 (2d Cir. 1997) 14, 15

NLRB v. Future Ambulette, Inc.,
903 F.2d 140 (2d Cir. 1990) 7

NLRB v. IBEW Local Union 112,
992 F.2d 990 (9th Cir. 1993) 7

Sure-Tan v. NLRB,
467 U.S. 883 (1984) ..... passim

U.S. v. Aid Maintenance Co.,
8 O.C.A.H.O. 1023 (March 18, 1999), 1999 WL 497195
(O.C.A.H.O.) 13

STATUTES AND REGULATIONS

Immigration and Nationality Act
8 U.S.C. § 1101(a)(15) 8, 9
8 U.S.C. § 1101(a)(15)(B) 8
8 U.S.C. § 1182(a)(5) 8, 9
8 U.S.C. § 1325 ..... 8, 9
18 U.S.C. § 1546 1

Immigration Reform and Control Act of 1986
8 U.S.C. § 1324a 13
8 U.S.C. § 1324c 1, 9
Pub. L. No. 99-603, § 111, 100 Stat.3381 11

18 U.S.C. § 1621 1

8 C.F.R. § 274a.12 8

OTHER

1 NLRB Casehandling Manual §10056.3 (June 1989)..... 15

Immigration and Naturalization Service, "IRCA Employer Sanctions," (November 13, 2001)..... 9

NLRB General Counsel Memorandum 87-8, (October 27, 1987), Westlaw 1987 WL 109409 (N.L.R.B.G.C.)..... 9

NLRB General Counsel Memorandum 88-9, (September 1, 1988), Westlaw 1988 WL 236182 (N.L.R.B.G.C.)..... 11

NLRB General Counsel Memorandum 98-15 (September 4, 1998), Westlaw 1998 WL 1806350 (N.L.R.B.G.C.)..... 10

Robert L. Jackson, *Tyson Foods Is Indicted In Immigration Smuggling*, Los Angeles Times, December 20, 2001, at A1..... 13

Tracey Eaton, *INS Fines Disney a Record $395,000*, The Orange County Register, May 6, 1993, at A1..... 13

U.S. Dept. of Labor, Unemployment Insurance Program Letter No. 1-86, 51 Fed. Reg. 29713 (August 20, 1986)..... 8

Select Commission on Immigration and Refugee Policy, Senate and House Committees on the Judiciary, 97th Cong., *U.S. Immigration Policy and the National Interest* (Joint Comm. Print 1981), p. 65..... 11

INTRODUCTION

Jose Castro committed at least four criminal acts during his extended illegal stay in the United States. First, he entered this country illegally in violation of the INA. 8 U.S.C. § 1325. Second, he obtained employment at Hoffman by presenting fraudulent immigration documents in violation of the INA and IRCA. 18 U.S.C. § 1546; 8 U.S.C. § 1324c. Third, he committed perjury in violation of 18 U.S.C. § 1621 by lying under oath about his identity during the NLRB's compliance proceeding. *See, ABF Freight Sys., Inc. v. NLRB*, 510 U.S. 317, 328-29 (1994). Fourth, he committed a continuing violation of the INA by remaining in this country illegally during his employment at Hoffman and for at least four years thereafter. *Montero v. INS*, 124 F.3d 381, 385 (2d Cir. 1997). And, finally, the record indicates that Castro compounded his prior illegal conduct by continuing to use fraudulent documents to obtain employment during the backpay period. *See infra* pp. 14-15. Against this backdrop of repeated criminal misconduct, this Court must consider whether Hoffman's violation of the NLRA, a civil statute not punitive in nature, justifies an award of backpay to an undocumented alien who never was lawfully present or lawfully entitled to work in this country during the backpay period. Under *Sure-Tan v. NLRB*, 467 U.S. 883 (1984), and this country's immigration laws and policies, backpay must be denied and the decision of the D.C. Circuit must be reversed.

The Board and amici adopt a series of false premises to convince this Court to affirm the D.C. Circuit's erroneous decision. They contend that *Sure-Tan* denies backpay only to undocumented aliens who leave this country as they should, but not to undocumented aliens like Castro who extend their unlawful stay. They argue that the same

immigration laws that made Castro's entry and continued presence in this country illegal somehow entitle him to backpay. They claim that, although Hoffman knew nothing about Castro's illegal status, backpay is necessary to deter unscrupulous employers from unlawful employment practices. They maintain that denying backpay to Castro lets Hoffman off the hook for a violation of the NLRA, while at the same time they trivialize Castro's criminal misconduct. And, they attempt to justify the D.C. Circuit's erroneous award of backpay to Castro by improperly applying the after-acquired evidence and mitigation doctrines.

The D.C. Circuit's decision must be reversed, however, because it conflicts with this country's immigration laws and this Court's holding in *Sure-Tan*. The INA made Castro's presence in this country illegal and his employment unauthorized. This Court in *Sure-Tan* properly accounted for the INA by tolling backpay for an undocumented alien during any period when the undocumented alien is not legally entitled to be present and employed in this country. By affirming the Board's award of backpay to Castro, the D.C. Circuit disregarded the INA and sent the message that he who illegally enters this country, violates its laws and successfully evades capture will be rewarded. This Court should restore the proper balance between the immigration laws and the NLRA by holding that Castro is not entitled to backpay for any period during which he was not legally present and legally entitled to work in this country.

ARGUMENT

False Premise No. 1: *Sure-Tan* Denies Backpay Only to Undocumented Aliens Who Leave the Country

The Board maintains that, because the Sure-Tan discriminatees voluntarily departed the country on the first day of the backpay period, *Sure-Tan* denies backpay only to those undocumented aliens who leave the country as they should, but justifies backpay to those undocumented aliens, like Castro, who remain in the United States in violation of the immigration laws.[1] Brief for the NLRB ("Respondent's Brief"), p. 17. The Board's approach conflicts with *Sure-Tan's* plain language. Nowhere in *Sure-Tan* did this Court state either expressly or implicitly that an undocumented alien's mere physical presence was sufficient to entitle the undocumented alien to backpay.

1 The AFL-CIO urges the same conclusion, insisting footnote 11 of *Sure-Tan* supports this result. Brief of the AFL-CIO, p. 28. This footnote states, in part, "the Court of Appeals 'estimated' an appropriate period of backpay without any evidence whatsoever as to the period of time these particular employees might have continued working before apprehension by the INS and without affording petitioners any opportunity to provide mitigating evidence." *Sure-Tan*, 467 U.S. at 901, n.11. This language was intended only to highlight the speculative nature of the Seventh Circuit's remedial award and to rebut Justice Brennan's conclusion that "the Court of Appeals had estimated the proper minimum backpay award with a fair degree of precision." *See, Del Rey Tortilleria, Inc. v. NLRB*, 976 F.2d 1115, 1120 (7th Cir. 1992); *Hoffman Plastic Compounds, Inc. v. NLRB*, 237 F.3d 639, 654 n. 1 (D.C. Cir. 2001) (J. Sentelle, dissenting). This Court quickly disposed of the issues raised in footnote 11, however, by concluding that an undocumented alien's lack of legal presence and legal unavailability for work deprives him of any backpay whatsoever. 467 U.S. at 903-04 (tolling backpay during such periods and noting the "probable unavailability" of a backpay award).

Instead, the Court repeatedly stated that backpay could not be awarded based upon physical presence alone. At page 903 of the *Sure-Tan* decision, this Court held, "in computing backpay, the employees must be deemed 'unavailable' for work (and the accrual of backpay therefore tolled) during any period when they were not *lawfully entitled to be present* and employed in the United States." 467 U.S. at 903 (emphasis added). At footnote 12, the Court repeated that the employees would be deemed "'unavailable' during any period when they were not *lawfully present* ...." *Id.* (emphasis added). The Court continued, "We share the Court of Appeals' uncertainty concerning whether any of the discharged employees will be able ... to establish at the compliance proceedings that they were *lawfully available* for employment during the backpay period." *Id.* at 904 (emphasis added). Despite this uncertainty, the Court stated, "The probable unavailability of the Act's more effective remedies in light of the practical workings of the immigration laws, however, simply cannot justify the judicial arrogation of remedial authority not fairly encompassed within the Act." *Id.*

Justice Brennan criticized the Court for holding that undocumented aliens are "employees" protected by the NLRA, while at the same time "effectively depriv[ing] them of any remedy ...." *Id.* at 911. The Court responded to his criticism as follows:

> "This argument completely ignores the fact that today's decision leaves intact the cease and desist order imposed by the Board, ..., one of the Act's traditional remedies for discriminatory discharge cases. Were petitioners to engage in similar illegal conduct, they would be subject to contempt proceedings and penalties. This threat of contempt sanctions thereby provides a significant deterrent against future violations of the Act. At the same time, we fully recognize that the reinstatement and backpay awards afford both more certain deterrence against unfair labor practices and more meaningful relief for the illegally discharged employees. Nevertheless, we remain bound to respect the directives of the INA as well as the NLRA and to guard against judicial distortion of the statutory limits placed by Congress on the Board's remedial authority. Any other solution must be sought in Congress and not the courts."

Id. at 904, n.13. Thus, the Court was acutely aware that *Sure-Tan* would be understood as broadly depriving undocumented aliens of any backpay remedy. If the Court did not intend that to be the interpretation, it would have highlighted the limitations of its holding in response to Justice Brennan's criticism. But, the Court did no such thing. Instead, the Court reaffirmed its intent to deny undocumented aliens the more effective remedies of the NLRA, because to do otherwise would conflict with the INA.

Acknowledging that *Sure-Tan* requires legal – not simply physical – presence, the Board contends that, in conditioning backpay upon legal presence, the Court sought only to deter the Sure-Tan discriminatees from illegally reentering this country to claim backpay awards. Respondent's Brief, p. 23-24. The Board maintains that, because Castro was physically present (albeit illegally) during the backpay period, his continued illegal presence was of no consequence. Apparently, the Board believes that, while this Court is concerned with an undocumented alien's repeated illegal entry, it is singularly unconcerned with an undocumented alien's continued illegal presence. Petitioner doubts that this Court is so cavalier about continuing violations of this country's immigration laws. *See, INS v. Lopez-Mendoza,* 468 U.S. 1032, 1046 (1984) (refusing to apply the exclusionary rule to deportation proceedings because

doing so would ignore an undocumented alien's continuing violation of the immigration laws).[2]

Although the *Sure-Tan* Court never endorsed an award of backpay to an undocumented alien based solely on the alien's illegal physical presence, the Board argues that such a position is consistent with its longstanding availability doctrine. Under this doctrine, backpay is tolled during any period when the discriminatee removes himself from the workforce because he is unavailable to work. Based on this doctrine, the Board claims that this case is distinguishable from those cases where it has denied backpay to employees who are incarcerated or inducted into the armed forces because such employees "are unavailable for work during that period and could not physically enter the labor market without breaking the law." Respondent's Brief, p. 21. This argument proves too much. Just like the incarcerated or inducted individual, Castro could not enter the labor market without breaking the law. Indeed, he entered the labor market only by illegally entering this country and by

2 The Board mistakenly concludes that *INS v. Lopez-Mendoza*, 468 U.S. 1032 (1984), signals this Court's approval of backpay awards to undocumented aliens who are physically present in the United States. Respondent's Brief, p. 24-25. In a footnote to *Lopez-Mendoza*, this Court cited *Sure-Tan* for the proposition that an employer may be guilty of an unfair labor practice "in his dealings with an alien notwithstanding the alien's illegal presence in this country." 468 U.S. at 1047 n.4. The Court noted that, in such situations, "retrospective sanctions" may be imposed but "prospective relief" must be denied. *Id.* The *Lopez-Mendoza* Court never mentioned backpay, however. And, because *Sure-Tan* expressly denied backpay to undocumented aliens, it is unlikely that the *Lopez-Mendoza* Court's reference to *Sure-Tan* contemplated backpay. Instead, it is more likely that the *Lopez-Mendoza* Court was referring to *Sure-Tan's* cease and desist order, which was the only "retrospective sanction" approved by the Court.

illegally presenting fraudulent employment documents to secure a job at Hoffman.

As further support for its proposition that only physical, not legal, unavailability tolls backpay, the Board cites a series of cases where backpay was awarded to discriminatees even though the discriminatees lacked a legal qualification to perform the work for which they were hired. Respondent's Brief, p. 21, n.12. Notably, none of these cases involve employees who were completely disqualified by the INA or IRCA from working for any employer as was Castro because of his illegal status. Instead, in *Justrite Mfg. Co.*, 238 N.L.R.B. 57 (1978), the discriminatee was disqualified from the job for which she was hired because she was not yet eighteen years old. There, the Board awarded backpay because the employer knew of her legal disqualification prior to her discharge, but the Board ordered backpay to commence only after the discriminatee turned eighteen. In *NLRB v. Future Ambulette, Inc.*, 903 F.2d 140 (2d Cir. 1990), backpay was awarded to a truck driver who lacked a valid driver's license because the court determined that the employer knowingly retained other drivers without valid licenses during the backpay period. *Id.* at 145 ("Since Howell could not legally drive for this company without a valid license, he was wronged only to the extent that the company failed to employ him while continuing to employ other unlicensed drivers."). *See also, NLRB v. IBEW Local Union 112*, 992 F.2d 990, 995 (9th Cir. 1993) (backpay awarded to unlicensed electrician in hiring hall case where union had dispatched other unlicensed electricians). These cases are easily distinguishable. As the Board determined, Hoffman did not know about Castro's illegal status and did not knowingly retain other undocumented aliens at the same time that it discharged Castro. Appendix to Writ of Certiorari ("App. ") 84a-85a, and n.11.

Castro's illegal status rendered him unavailable for work. U.S. Dept. of Labor, Unemployment Insurance Program Letter No. 1-86, 51 Fed. Reg. 29713 (August 20, 1986) ("an alien must be legally authorized to work in the United States to be considered 'available for work.'"). Because Castro was neither legally present nor lawfully entitled to employment during the backpay period, he was not entitled to backpay. *Sure-Tan*, 467 U.S. at 903. Thus, the D.C. Circuit's decision to enforce the Board's backpay award to Castro must be reversed.

False Premise No. 2: The Immigration Laws Require an Award of Backpay to Castro

Arguing that nothing in either the INA or IRCA expressly prohibited Castro's employment, the Board concludes that awarding backpay to Castro actually "advances" the immigration laws. Respondent's Brief, p. 35. The Board's faulty conclusion is based on its misunderstanding of the immigration laws.

The INA controls immigration by making unauthorized entry into this country illegal and by authorizing entry for purposes of employment only in specific circumstances. 8 U.S.C. §1182(a)(5) (formerly 8 U.S.C. § 1182(a)(14)); 8 U.S.C. § 1101(a)(15); 8 U.S.C. § 1325. For instance, a tourist may legally enter this country on a tourist visa for pleasure for a temporary period of time. But, the tourist visa does not permit the visa holder to engage in employment during the holder's stay. 8 U.S.C. § 1182(a)(5); 8 U.S.C. 1101(a)(15)(B); *see also*, 8 C.F.R. § 274a.12 (list of classes of aliens authorized to work). Rather, to legally enter this country and perform work, the INA has long required an alien to hold an immigrant or nonimmigrant visa that specifically authorizes

the alien to work in the United States. 8 U.S.C. § 1182(a)(5) ; 8 U.S.C. § 1101(a)(15) . Thus, under the INA, legal presence alone does not entitle an alien to perform work in this country. The *Sure-Tan* Court appreciated this distinction when it held that backpay would be tolled during any period that an undocumented alien was not both legally present and legally authorized to work. 467 U.S. at 903; *see also,* 467 U.S. at 893 (quoting from 8 U.S.C. § 1182(a)(14) that "immigrant aliens are therefore admitted to work in this country only if they 'will not adversely affect the wages and working conditions of workers in the United States similarly employed.'").

IRCA amplified the INA's employment restrictions. With its enactment in 1986, "IRCA corrected an unfair double standard in immigration law that prohibited unauthorized aliens from working in the United States, but permitted employers to hire them."[3] Immigration and Naturalization Service, "IRCA Employer Sanctions," (November 13, 2001), available at <http://www.ins.usdoj.gov/graphics/aboutins/history/sanctions.html>. So, while IRCA instituted new penalties for employers who hire undocumented aliens,[4] the

[3] The ACLU insists that IRCA focuses solely on employer conduct. Brief Amici Curiae of ACLU and Make the Road by Walking, Inc., p. 7. This is not the case. IRCA also focuses on undocumented aliens by prohibiting them from obtaining employment by presenting fraudulent immigration documents. 8 U.S.C. § 1324c.

[4] After IRCA was enacted, even the NLRB realized that IRCA required the denial of backpay to undocumented aliens. NLRB General Counsel Memorandum 87-8, p. 2 (October 27, 1987), Westlaw 1987 WL 109409 (N.L.R.B.G.C.) (stating that, with respect to undocumented workers hired after 1986 who evince no intent to seek temporary resident status, "reinstatement and backpay would not be sought."). The Board has since changed its position, just as it changed its position with respect to *Sure-Tan*. *See* NLRB General Counsel Memorandum 98-15

INA continued to prohibit aliens from working unless they legally entered this country with the proper work authorization.

Under both the INA and IRCA, Castro's employment was unlawful. He violated the INA by entering this country illegally and by obtaining work without authorization. Further, because IRCA forbade Hoffman from employing him, Castro obtained employment at Hoffman only by presenting fraudulent immigration documents in violation of the INA and IRCA. Although the INA and IRCA plainly made Castro's employment unlawful, the Board contends that its backpay award to Castro somehow advances the underlying policies of these immigration laws.[5] The Board's contention is incomprehensible.

Even before IRCA, the "primary purpose in restricting immigration [was] to preserve jobs for American workers." *Sure-Tan,* 467 U.S. at 893. With the enactment of IRCA, Congress recognized that the magnet that draws illegal

(September 4, 1998), Westlaw 1998 WL 1806350 (N.L.R.B.G.C.); Brief of Petitioner p. 5-6, n.5.

5 Amici States of New York, Arizona, California, Hawaii, Massachusetts and West Virginia, and the Commonwealth of Puerto Rico worry that construing the INA and IRCA to preclude backpay to an undocumented alien under the NLRA may result in the preemption of state laws that provide monetary remedies to undocumented aliens under other circumstances. Brief of Amici Curiae States of New York et al., p. 15. This issue is not before the Court. And, even if this issue were somehow relevant here, this Court has held that Congress, in enacting the INA, did not preclude the states from regulating the employment of undocumented aliens. *De Canas v. Bica,* 424 U.S. 351, 357 (1976) ("we will not presume that Congress, in enacting the INA, intended to oust state authority to regulate the employment relationship . . . .").

aliens to this country is wages. Yet, the Board advocates giving Castro the very thing that drew him here in the first place - money.[6] The Board cannot, and does not, explain how awarding backpay to Castro will encourage him or other undocumented aliens to cease their ongoing violation of the immigration laws by leaving the country,[7] how it will

6 The Board and amici draw support for their position from IRCA's legislative history, section 111 of IRCA, and a report from the Select Commission on Immigration and Refugee Policy ("SCIRP Report"). As Petitioner has previously explained, IRCA's legislative history left *Sure-Tan's* remedial holding intact and, therefore, provides no guarantee of backpay to undocumented aliens. Brief of Petitioner, p. 25-27. Until recently, the NLRB agreed. *See* NLRB General Counsel Memorandum 88-9, p. 3 (September 1, 1988), Westlaw 1988 WL 236182 (N.L.R.B.G.C.) ("[T]he relevant committee report points out [that] Sure-Tan was the existing law and that decision itself limited the remedial powers of the NLRB. Clearly Congress did not intend to overrule Sure-Tan.... [I]t is Sure-Tan, not IRCA, that limits the power of the NLRB to order reinstatement and backpay to an employee who is not 'entitled to be employed' in the U.S."). Similarly, section 111 of IRCA fails to address backpay for undocumented aliens. Instead, this section provides funds for law enforcement activities by the INS, the Wage and Hour Division and the OFCCP to deter the employment of undocumented aliens. The simple fact that the Wage and Hour Division and the OFCCP may generally award backpay to authorized workers, does not evince any Congressional intent to award an undocumented alien backpay for a violation of the NLRA. Nor does the SCIRP Report contain any evidence of a Congressional intent to award backpay to undocumented aliens. This Report pre-dated IRCA by five years. And, although the Report states that the Commission discussed, but rejected "penalties that could be imposed on those who seek undocumented/illegal employment," nothing in the Report suggests that a denial of backpay under the NLRA was even considered. Select Commission on Immigration and Refugee Policy, Senate and House Committees on the Judiciary, 97th Cong., *U.S. Immigration Policy and the National Interest* (Joint Comm. Print 1981), p. 65.

7 Although the Board and amici contend that undocumented aliens do not come to America for the protection of our labor laws, they cannot dispute that the prospect of a backpay award encourages

deter other aliens from illegally entering the country, or how it will discourage undocumented aliens from using fraudulent documents to obtain employment.

Instead of focusing on deterring undocumented aliens like Castro from violating the immigration laws, the Board focuses entirely on deterring employers from violating the NLRA. The Board and amici argue that denying backpay to Castro will encourage unscrupulous employers[8] to hire undocumented aliens in violation of IRCA so that the employer can benefit by retaliating against the alien in violation of the NLRA. As an initial matter, this argument is misplaced in this case. There is no dispute that Hoffman hired Castro without any knowledge of his illegal status[9]

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undocumented aliens to continue their illegal presence. Indeed, one amicus states "[i]f undocumented workers were foreclosed from monetary remedies it would be impossible to obtain their assistance in law enforcement investigations...." Brief of Amici Curiae States of New York et. al., p. 3. Implicit in this concern is the admission that backpay is often the incentive that keeps undocumented aliens in this country.

8 It is noteworthy that, while the Board and amici argue that *Sure-Tan* must be narrowly confined to its specific facts, they seek to extend this case far beyond the facts presented. Indeed, amici seek to equate Hoffman with sweatshops and other "scofflaw businesses" that knowingly hire illegal aliens to reap some competitive advantage. *See, e.g.*, Brief Amici Curiae of Employers and Employer Organizations In Support of Respondent, p. 8. Yet, unlike these unscrupulous employers, Hoffman had no knowledge regarding Castro's illegal status and could not have benefited therefrom.

9 Because the arguments advanced by amici rest on the premise that denying backpay to Castro will lead unscrupulous employers to hire undocumented aliens in violation of IRCA only to retaliate against them in violation of the NLRA, they attempt to mislead this Court by suggesting that Hoffman had knowledge of Castro's illegal status. Brief Amici Curiae of Employers and Employer Organizations, p. 7; Brief of Amici Curiae National Employment Law Project et. al., p. 7.

and, thus, Hoffman could not have benefited by retaliating against Castro because of his status. Furthermore, if an employer willfully violates IRCA, it is subject to substantial civil and criminal penalties. The INS has demonstrated that it will use these penalties to secure employer compliance. For instance, the INS recently ordered Aid Maintenance to pay nearly $106,000 in fines for IRCA violations. *U.S. v. Aid Maintenance Co.*, 8 O.C.A.H.O. 1023 (March 18, 1999), 1999 WL 497195 (O.C.A.H.O.). Similarly, the INS assessed nearly $400,000 in fines against Disneyland for alleged IRCA violations. Tracey Eaton, *INS Fines Disney a Record $395,000*, The Orange County Register, May 6, 1993, at A1. And, just last month, a federal grand jury indicted Tyson Foods for alleged violations of the immigration laws. Robert L. Jackson, *Tyson Foods Is Indicted In Immigration Smuggling*, Los Angeles Times, December 20, 2001, at A1.[10]

By focusing on the potential for unscrupulous employers to violate the NLRA, but ignoring Castro's repeated violations of the immigration laws, the Board and amici seek to elevate

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The Board itself has rejected this contention, stating that "the record clearly shows that the Respondent only hired Castro after he had supplied, as the Respondent required, documents that appeared to be genuine and relate[d] to the person presenting them." App. 85a; *see also*, Respondent's Brief, p. 33 ("Petitioner did examine relevant documents and did not know that Castro lacked authorization to work in the United States either when it hired him or when it laid him off.").

10 According to the Board and amici, these sanctions are insufficient to deter some employers. However, they cannot explain how the simple prospect of a backpay remedy will deter a rogue employer who is so intent on breaking the law. In any event, Congress has determined that the employer sanctions contained in 8 U.S.C. § 1324a are a sufficient deterrent for a violation of IRCA. If the Board and amici believe that these penalties are insufficient, their remedy lies with Congress and not this Court. *Sure-Tan*, 467 U.S. at 904 n.13.

the policies of the NLRA above the policies of the INA and IRCA. The D.C. Circuit fell prey to this argument and its decision must be reversed because, as this Court has taught, the Board's remedies must not conflict with the objectives of the immigration laws. *Sure-Tan,* 467 U.S. at 903. Although the remedy ordered in this case directly conflicts with the INA and IRCA, it was possible for the Board to issue a remedy that harmonized the NLRA and the immigration laws. The Board could have simply treated backpay the same as it treated reinstatement and commenced backpay on the date that Castro obtained authorization to work in the United States. *NLRB v. A.P.R.A. Fuel Oil Buyers Group, Inc.,* 134 F.3d 50, 62 (2d Cir. 1997) (J. Jacobs, dissenting). This solution respects the policy goals of both the immigration laws and the NLRA by deterring employers from violating the NLRA while at the same time encouraging aliens to comply with the immigration laws. *Id.*

False Premise No. 3: Castro's Illegal Status Did Not Prevent Him From Lawfully Mitigating His Damages

Although Castro never was legally present or legally authorized to work at any time during the backpay period, the Board maintains that Castro still lawfully mitigated his damages because there is no "evidentiary basis in the record for a conclusion that Castro tendered fraudulent identification documents in obtaining interim work." Respondent's Brief, p. 41. The Board is mistaken.

On June 14, 1993, when asked at the compliance hearing whether he was, *at that time,* legally authorized to work in the United States, Castro testified, "I work with a birth certificate ... the birth certificate was loaned to me so that I can secure a job because I have no work." Petitioner's Supplement to the Deferred Appendix, p. 147 (filed with the

D.C. Circuit August 13, 1999). The ALJ determined that Castro used fraudulent documentation – not just to obtain employment at Hoffman – but to obtain work in the United States. App. 92a (Castro "testified that he *uses* the false identification in order to work in this country.") (emphasis added). So, four years after his discharge from Hoffman, Castro testified that he still used the fraudulent birth certificate to obtain work.[11]

In all likelihood, Castro was motivated to engage in these repeated fraudulent acts in violation of the immigration laws because of the very prospect of a backpay remedy. The NLRB instructs its Board agents to advise potential discriminatees of "their obligation to search for work and to report all interim earnings, inasmuch as a failure to do so may result in a loss or reduction of any backpay to which they might be entitled in the event that their case is found to be meritorious." 1 NLRB Casehandling Manual §10056.3 (June 1989). Thus, by communicating with Castro regarding his mitigation responsibilities, the Board likely encouraged Castro's continued illegal presence[12] and his repeated fraudulent acts.

Because Castro could not lawfully be employed in the United States, he could not lawfully mitigate his damages.

[11] The Board speculates, without any evidentiary basis, that Castro mitigated his damages by either securing interim employment with an employer who failed to comply with IRCA or with an employer who was not legally obligated to verify his work authorization. Respondent's Brief, p. 41-42, n.26

[12] *NLRB v. A.P.R.A. Fuel Oil Buyers Grp., Inc.,* 134 F.3d 50, 62 n.4 (2d Cir. 1997) (J. Jacobs, dissenting) ("Considering that NLRB proceedings can span a whole decade, [backpay] is no small inducement to prolong illegal presence in this country.").

By awarding backpay to Castro in disregard of his illegal status, the Board and the D.C. Circuit condoned Castro's continued illegal conduct and relieved him of his obligation to mitigate.

False Premise No. 4: The After-Acquired Evidence Rule Requires An Award of Backpay to Castro

The Board and the D.C. Circuit also absolved Castro of his continuing violation of the immigration laws by improperly applying the after-acquired evidence doctrine. According to the Board and the D.C. Circuit, the after-acquired evidence doctrine tolls backpay only upon the date that an employer first learns of an employee's misconduct. However, this blanket application of the after-acquired evidence rule is at odds with this Court's holding in *McKennon v. Nashville Banner Publishing Co.*, 513 U.S. 352 (1995).

In *McKennon*, the plaintiff sued her former employer for age discrimination. During plaintiff's deposition, the employer learned for the first time that, prior to her discharge, the plaintiff copied some of the employer's confidential financial documents. 513 U.S. at 355. The employer argued that the plaintiff's misconduct was grounds for her termination and that her misconduct deprived her of backpay or any other remedy. *Id.*

This Court held:

> "Once an employer learns about employee wrongdoing that would lead to a legitimate discharge, we cannot require the employer to ignore the information .... The beginning point in the trial court's formulation of a remedy should be calculation of backpay from the date

> of the unlawful discharge to the date the new information was discovered. *In determining the appropriate order for relief, the court can consider taking into further account extraordinary equitable circumstances that affect the legitimate interests of either party."*

Id. at 362 (emphasis added). Thus, this Court acknowledged that, in some situations, the employee's misconduct justifies denying all relief.

In at least two cases since *McKennon*, the state courts have been confronted with the very circumstances that required the complete denial of backpay envisioned by *McKennon*. In *Camp v. Jeffer, Mangles, Butler & Marmaro*, 41 Cal. Rptr.2d 329 (Cal. Ct. App. 1995), a law firm that represented the Resolution Trust Corporation ("RTC") unknowingly hired two convicted felons. The RTC regulations required the law firm to certify that none of its employees had ever been convicted of a crime. In the course of discovery related to the employees' wrongful termination lawsuit, the law firm learned of the employees' convictions. The law firm argued that the after-acquired evidence doctrine barred any recovery. The California Court of Appeal agreed, stating:

> "We appreciate that the facts in *McKennon* ... presented a situation where balancing the equities should permit a finding of employer liability ....[13] However, the equities compel a different result where an employee who is disqualified from employment by government-imposed

[13] In *McKennon* and the vast majority of cases that arise under the after-acquired evidence doctrine, the employee misconduct amounts to no more than a violation of the employer's internal policies. Here, however, Castro's misconduct constituted repeated and continuing violations of the immigration laws.

> requirements nevertheless obtains a job by misrepresenting the pertinent qualifications. ... Since the Camps were not lawfully qualified for their jobs, they cannot be heard to complain that they improperly lost them. Given the nature of the misrepresentations, their potential damage to Jeffer Mangles, and the fact that the Camps were disqualified from employment by means of government requirements, the public policies of the state are adequately served by barring the Camps' claims...." *Id.* at 339-40.

Similarly, in *Cedeno v. Montclair State University*, 725 A.2d 38 (N.J. Super. 1999), *aff'd*, 750 A.2d 73 (N.J. 2000), the University learned during discovery that plaintiff, a public employee, had been convicted of a crime that disqualified him from public employment. Relying on *McKennon*, the court held that plaintiff's disqualification from employment disqualified him from receiving any relief for an alleged wrongful termination. *Id.* at 42-43.

The circumstances in this case present an even greater justification for denying backpay than did the circumstances in *Camp* and *Cedeno*. In *Camp* and *Cedeno*, the plaintiffs were disqualified only from a particular category of employment. In contrast, the immigration laws disqualified Castro from all employment. Accordingly, the Board and the D.C. Circuit should have applied the after-acquired evidence doctrine to bar backpay to Castro.

False Premise No. 5: Failing to Award Backpay To Castro Absolves Hoffman of a Violation of The NLRA

The Board and amici attempt to justify their disregard of the immigration laws and their improper application of the

mitigation and after-acquired evidence doctrines by arguing that denying backpay to Castro absolves Hoffman of its violation of the NLRA. This argument is without merit. Rather than absolve Hoffman of its violation, the Board levied other significant remedies against Hoffman in this case. The Board ordered Hoffman to cease and desist from further violations of the Act, to offer reinstatement and backpay to each of the other affected employees and to post a notice regarding its remedial order.

Discounting the deterrent effect of a cease and desist order, the Board claims that only backpay "provides the spur or catalyst which causes employers and unions to self-examine and to self-evaluate their employment practices." Respondent's Brief, p. 42. This Court has previously rejected these same arguments. Indeed, in responding to Justice Brennan's criticism of its remedial holding in *Sure-Tan*, the Court described the cease and desist order as "one of the Act's traditional remedies for discriminatory discharge cases" and stated that "the threat of contempt sanctions" associated with the cease and desist order "provides a significant deterrent against future violations."[14] 467 U.S. 904 n.13. Thus, contrary to the argument advanced by the Board and amici, this Court already has determined that a cease and desist order was sufficient to deter Hoffman from future violations of the NLRA.

[14] Of course, in this case, there was additional deterrence in the form of backpay awarded to the other discriminatees. Neither the Board nor the amici explain how an additional award of backpay to Castro would further vindicate the policies of the Act.

CONCLUSION

For the foregoing reasons, the judgment of the D.C. Circuit Court of Appeals should be reversed.

Respectfully submitted,

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